



Heranba saw a sharp drop in revenue on back of poor domestic & export demand in technicals ; EBITDA margin was hit badly due to lack of operating leverage ; Management has not lived upto expectation & annual revenue guidance of 15-18% with 16-18% EBITDA now revised to flat revenue on YoY basis & 12-14% EBITDA margin expectation. Sarigam Phase 1 capex guidance revised to Rs.1200 Mn from Rs.1500 Mn

Key business highlights

- Revises annual revenue guidance from 15-17% to flat revenue on YoY basis & EBITDA @ 12-14% (Negative) ; Outlook for FY24 : 18-20% revenue guidance with 16-18% EBITDA margin ; China Outlook : Demand likely to pick up after chinese new year & end of festive season
- Capex for 9MFY23 stands at Rs.600 Mn (Annual guidance dropped to Rs.1200 Mn from Rs.1500 Mn) ; Asset T/O of 2.5-3x achievable in next 2 years at a capacity utilisation of 65-70% (Negative)
- Mr.Ajit Gujaral conferred with responsibility of marketing thereby increasing formulation presence & help with new product launches/selection going forward (Recently joined Heranba from Best Agrolife)

Key financial highlights

- Revenue at INR 2,760 Mn, -30% YoY / -34% QoQ (China lockdown, poor macro environment, weak demand coupled with high channel inventory & supply were few factors leading to decline in revenue)
- EBITDA (Excl OI) at INR 238 Mn, -67% YoY / -64% QoQ (Impacted due to lower sales & lack of operating leverage)

Financial Summary

Y/E Mar (Rs mn)	FY18	FY19	FY20	FY21	FY22	FY23E	FY24E
Net sales	7,412	10,044	9,514	12,186	14,504	14,788	17,188
Growth Y-o-Y (%)		35.5	(5.3)	28.1	19.0	2.0	16.2
EBIDTA	878	1,314	1,293	2,213	2,598	1,826	2,991
Growth Y-o-Y (%)		49.7	(1.6)	71.1	17.4	(29.7)	63.8
Margins (%)	11.8	13.1	13.6	18.2	17.9	12.3	17.4
Adjusted net profit	469	754	977	1,542	1,891	1,257	2,069
Growth Y-o-Y (%)		60.9	29.5	57.9	22.6	(33.5)	64.6
EPS (Rs)	60.0	19.3	25.0	38.5	47.3	31.4	51.7
P/E (x)	8	24	19	12	10	15	9
EV/EBITDA (x)	5	14	14	8	7	9	5
RoCE (%)	35.5	45.1	33.3	35.7	31.3	18.2	25.3
RoE (%)	29.8	33.0	30.4	29.2	26.5	15.2	20.4

Source: Company

Rating

NOT RATED

Market data

Current price	Rs	466
Market Cap (Rs.Bn)	(Rs Bn)	19
Market Cap (US\$ Mn)	(US\$ Mn)	229
Face Value	Rs	10
52 Weeks High/Low	Rs	738 / 46;
Average Daily Volume	('000)	26
BSE Code		543266
Bloomberg		HERANBA.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-22	Sep-22
Promoters	74.83	74.77
Public	25.17	25.23
Total	100	100 +

Source: Bloomberg

Key Risk:

- Key Pyrethroid prices & fluctuation
- Erratic monsoon
- Delay in implementation of capex

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- EBITDA margin (Excl OI) at 8.63% vs 18.01% / 15.63% in Q3FY22 / Q2FY23
- PAT at INR 126 Mn, -76% YoY / -73% QoQ (Lower sales & lower EBITDA with higher depreciation & finance cost impacted PAT)
- EPS stood at INR 3.2 vs 13.4 / 11.8 in Q3FY22 / Q2FY23

Quarterly Financials

(Rs.Mn)	Q3FY23	Q3FY22	YoY Growth (%)	Q2FY23	QoQ Growth (%)
Revenue from Operations	2,760	3,954	-30%	4,207	-34%
Other Income	6	51	-87%	40	-84%
Cost of Goods sold	1,772	2,529	-30%	2,709	-35%
Employee Benefits Expense	160	191	-16%	190	-16%
Other Expenses	464	521	-11%	650	-29%
Total Expenses	2,522	3,242	-22%	3,549	-29%
EBITDA (Excluding Other Income)	238	712	-67%	658	-64%
Depreciation and Amortisation Expenses	58	42	37%	56	4%
EBIT / PBIT	187	721	-74%	642	-71%
Finance Costs	23	9	168%	16	48%
EBT/ PBT	164	713	-77%	626	-74%
Tax Expense	37	178	-79%	155	-76%
Net Profit after Tax	126	535	-76%	472	-73%
Earning Per Share	3.2	13.4	-76%	11.8	-73%
Margins (%)					
Gross Margins	35.8%	36.0%	-23	35.6%	20
EBITDA Margins (Excl Other Income)	8.6%	18.0%	-939	15.6%	-701
PAT Margins	4.6%	13.4%	-879	11.1%	-654

Source: Dalal & Broacha Research

China lockdown, poor macro environment, weak demand coupled with high channel inventory & supply were few factors leading to decline in revenue

EBITDA impacted due to lower sales & lack of operating leverage

Low EE cost on account of lower variable/contractual labour due to lower sales ; 75% EE cost fixed in nature & 25% is variable

Did you know?

Heranba marks its entry in the most regulated market of USA in October 2021 by sending its first consignment of insecticide.

Management Concall KTAs

- Revises annual revenue guidance from 15-17% to flat revenue on YoY basis & EBITDA @ 12-14% (Negative) ; Outlook for FY24 : 18-20% revenue guidance with 16-18% EBITDA margin ; China Outlook : Demand likely to pick up after chinese new year & end of festive season
- Capex for 9MFY23 stands at Rs.600 Mn (Annual guidance dropped to Rs.1200 Mn from Rs.1500 Mn) ; Asset T/O of 2.5-3x achievable in next 2 years at a capacity utilisation of 65-70% (Negative)
- Product Update
- Sarigam Phase 1 : 3 Molecules (for domestic as well as export market ; to reduce product concentration)
- Sarigam Phase 2 : 2 Molecules
- (Total 10-15 molecules in evaluation stage)
- Insecticides & fungicides are major contributor to revenue & has led to decline in revenue as demand was both have dropped significantly (Insecticides : 75% ; Fungicides : 20% ; Herbicides : 5% of overall revenue)

- In terms of geographical ranking 1.Asia Pacific ; 2.Africa & 3.Middle-east are the top 3 export geographies for Heranba
- In terms of EE cost 75% is fixed in nature & 25% is contractual/variable ; Lower EE cost on back of lower contractual cost due to lower sales
- Tax rate expected in the range of 24-25%
- Annual depreciation to increase by 20-50 Mn for incremental capex ; Year end OCF likely to be in the range of -50Mn to +50Mn
- Current Inventory days stands around ~110 days
- Current capacity utilisation : Technicals : 85-90% ; Formulations : 55-60%
- Targeting 25 Mn\$ sales in next 2-3 years (This year crossed Rs.250 Mn & aim to achieve Rs.500 Mn next year)
- 2 products registered in USA market & several others are in pipeline
- Facilities were evaluated by European & Brazilian companies
- R&D as a percentage to sales stands around 1% (Going forward range to be 1-2% of overall sales)
- Mr.Ajit Gujaral conferred with responsibility of increasing formulation presence & help with new product selection going forward (Recently joined Heranba from Best Agrolife)

Valuation & Outlook

This is the 3rd consecutive quarter where Heranba has disappointed on all fronts. Also management didn't live upto expectation & have revised annual guidances 2 times in last 2 quarters. Sarigam capex revision with flat revenue growth guidance seems extremely negative for the company. One can expect stock to correct on Monday. Q3 is the strongest quarter for the company where they have performed the worst. Also there was no clarity on missed sales opportunity in coming quarters.

Company continues to trade at attractive valuation of 9x FY24E EPS of Rs.52 at CMP of Rs.466. We have revised our FY24E EPS from Rs.62 to Rs.52 due to lower management guidance, lower capex amount, poor demand environment & poor execution capabilities of management. We have **NEUTRAL** rating on the stock

About the Company:

Heranba Industries (Heranba) was incorporated as an agrochemical company in 1992. It is also one of the leading domestic producers of synthetic pyrethroids with a market share of 19.5% in domestic pyrethroid market. The company is present in the entire product value chain of the agrochemicals industry (i.e. Intermediates, Technical and Formulations)

Business verticals include:

- (a) Domestic bulk sales of Technical
- (b) Technical bulk exports
- (c) Branded formulations
- (d) Formulations exports

Heranba has more than 9,400 dealers across sixteen (16) states and one (1) union territory in India supporting the distribution of its products. It has four manufacturing facilities in and around Vapi with a capacity of ~15,000 MTPA

Financials

P&L (Rs mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
Net Sales	10,044	9,514	12,186	14,504	14,788	17,188
Total Operating Expenses	6,978	6,374	7,795	9,306	9,981	11,086
Employee Cost	380	465	522	584	704	791
Other Expenses	1,373	1,381	1,656	2,016	2,277	2,320
Operating Profit	1,314	1,293	2,213	2,598	1,826	2,991
Depreciation	60	82	147	198	224	293
PBIT	1,255	1,211	2,067	2,400	1,601	2,698
Other income	74	165	70	194	136	149
Interest	107	88	54	41	74	81
PBT	1,221	1,288	2,083	2,553	1,663	2,766
exceptional)	1,221	1,288	2,083	2,553	1,663	2,766
Provision for tax	467	312	541	662	407	697
Reported PAT	754	977	1,542	1,891	1,257	2,069
MI	-	-	-	-	-	-
Net Profit	754	977	1,542	1,891	1,257	2,069
Adjusted Profit (excl Exceptionals)	754	977	1,542	1,891	1,257	2,069
Balance Sheet	FY19	FY20	FY21	FY22	FY23E	FY24E
Equity capital	391	391	400	400	400	400
Reserves	1,891	2,818	4,881	6,744	7,853	9,734
Net worth	2,282	3,208	5,281	7,145	8,253	10,134
Non Current Liabilities	103	86	101	156	164	172
Current Liabilities	3,220	2,953	3,051	3,386	4,619	5,241
TOTAL LIABILITIES	5,604	6,248	8,433	10,686	13,035	15,547
Non Current Assets	1,088	1,534	1,881	2,299	3,122	3,998
Fixed Assets	671	1,332	1,431	2,077	2,910	3,767
Goodwill	-	-	-	-	-	-
Non Current Investments	0	37	101	21	21	21
Deferred Tax Asset	1	-	10	28	-	-
Other Financial Assets	71	84	242	114	125	138
Other Non Current Assets	345	81	97	60	66	72
Current Assets	4,516	4,713	6,552	8,387	9,913	11,549
Current investments						
Inventories	1,139	1,455	1,660	2,557	2,228	2,590
Trade Receivables	2,533	2,585	3,418	4,096	4,133	4,803
Cash and Bank Balances	210	32	848	1,199	2,965	3,510
Short Term Loans and Advances	15	26	20	20	22	24
Other Current Assets	619	615	607	515	566	623
TOTAL ASSETS	5,604	6,248	8,433	10,686	13,035	15,547

Cash Flow St. (Rs. mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
Net Profit	754	977	1,542	1,891	1,257	2,069
Add: Dep. & Amort.	60	82	147	198	224	293
Cash profit s	814	1,059	1,689	2,088	1,481	2,362
(Inc)/Dec in						
-Sundry debtors	(502)	(52)	(833)	(679)	(36)	(671)
-Inventories	(199)	(316)	(205)	(898)	329	(362)
-Loans/advances	-	(9)	9	-	-	-
- Other Current Assets	(109)	253	(168)	258	(71)	(78)
-Current Liab and Provisions	102	97	170	(71)	33	35
Sundry Creditors	568	(227)	(169)	487	1,204	592
Change in working capital	(140)	(255)	(1,196)	(903)	1,459	(483)
CF from Oper. activities	674	804	493	1,185	2,940	1,879
CF from Inv. activities	(257)	(780)	(310)	(763)	(1,058)	(1,150)
CF from Fin. activities	(326)	(202)	632	(71)	(116)	(184)
Cash generated/(utilised)	92	(178)	816	351	1,766	545
Cash at start of the year	118	210	32	848	1,199	2,965
Cash at end of the year	210	32	848	1,199	2,965	3,510
Ratios	FY19	FY20	FY21	FY22	FY23E	FY24E
OPM	13.08%	13.60%	18.16%	17.91%	12.35%	17.40%
NPM	7.45%	10.09%	12.58%	12.86%	8.42%	11.93%
Tax Rate	38.26%	24.20%	25.95%	25.93%	24.45%	25.20%
Growth Ratios (%)						
Net Sales	35.51%	-5.28%	28.09%	19.02%	1.96%	16.23%
Operating Profit	49.66%	-1.57%	71.12%	17.36%	-29.71%	63.80%
PBIT	60.04%	5.50%	61.66%	22.55%	-34.83%	66.28%
PAT	60.86%	29.52%	57.93%	22.59%	-33.53%	64.63%
Per Share (Rs.)						
Net Earnings (EPS)	19.3	25.0	38.5	47.3	31.4	51.7
Cash Earnings (CPS)	20.8	27.1	42.2	52.2	37.0	59.0
Dividend	1.0	1.0	1.7	2.7	3.7	4.7
Book Value	58	82	132	179	206	253
Free Cash Flow	281	(562)	126	(90)	1,691	325
Valuation Ratios						
P/E(x)	24	19	12	10	15	9
P/B(x)	8.0	5.7	3.5	2.6	2.3	1.8
EV/EBIDTA(x)	14.1	14.4	8.2	6.9	8.9	5.2
Div. Yield(%)	0.21%	0.21%	0.36%	0.58%	0.79%	1.01%
FCF Yield(%)	60.22%	-120.68%	27.12%	-19.42%	362.93%	69.82%
Return Ratios (%)						
ROE	33.05%	30.44%	29.20%	26.46%	15.23%	20.42%
ROCE	45.12%	33.29%	35.73%	31.30%	18.25%	25.31%

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